# Practice workbook · New products and marketing mix choices

Goods versus services, the marketing mix, why businesses keep developing new products, and choosing between product, price or promotion growth options.

11 question parts: 1 worked-example retry and 10 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: BUS-S4-07

# 1. Question 2 · part e · 3 marks

2020 NOV · Paper 02 (regional R)

Worked-example retry · Attempt part e only.

**2** *HRMW* carries out market research on a regular basis.

(a) State **one** function that human resources at *HRMW* would carry out.

**(1)**

(b) State **one** reason why *HRMW* carries out market research.

**(1)**

(c) Explain **one** benefit of using penetration pricing for a new product.

**(3)**

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# 1. Question 2 · part e · 3 marks

2020 NOV · Paper 02 (regional R)

Worked-example retry · Attempt part e only.

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(d) Explain **one** benefit to a business of using the internet to carry out secondary market research.

**(3)**

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(e) Explain **one** benefit to a business of continually introducing new products.

**(3)**

# 1. Question 2 · part e · 3 marks

2020 NOV · Paper 02 (regional R)

Worked-example retry · Attempt part e only.

*HRMW* is always looking to improve its methods of production. To do this it is considering using the following two options:

**Option 1:** kaizen

**Option 2:** just-in-time (JIT).

(f) Justify which **one** of these two options *HRMW* should use.

**(9)**

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## 1. Question 2 · part e · 3 marks · Working and answer

Working and answer

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# 2. Question 2 · part a · 1 mark

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

**2** *Yellow* has introduced a new product, 'Design Your Own Shirt'. Customers can choose the colour, sleeve length and number of pockets.

(a) State **one** benefit to *Yellow of* introducing this product.

(1)

(b) State **one** way *Yellow* could carry out market research.

(1)

(c) Explain **one** benefit to a business of retaining its employees.

(3)

(d) Explain **one** advantage for a business of using targeted advertising online.

(3)

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## 2. Question 2 · part a · 1 mark · Working and answer

Working and answer

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## 3. Question 1 · part a.iv · 1 mark

2023 JUN · Paper 01

Further practice · Attempt part a.iv only.

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**1** *Irsi Chocolatier* is a chocolate shop in Brussels, the capital city of Belgium. There are many other chocolate shops nearby. Opened in 1989 by the Corne family the business now has four directors and three employees. Florent Corne is the Managing Director with three other family members as Directors. *Irsi Chocolatier* opens from Tuesday till Saturday. The shop sells a variety of handmade chocolates and jelly fruit sweets. It delivers locally and has a website for information purposes only.

(a) (i) Which **one** of the following functions is responsible for public relations?

Select **one** answer.

(1)

- ☒ **A** Human resources
- ☒ **B** Finance
- ☒ **C** Marketing
- ☒ **D** Production

(ii) Which **one** of the following is the difference between cash inflow and cash outflow?

Select **one** answer.

(1)

- ☒ **A** Opening balance
- ☒ **B** Net cash flow
- ☒ **C** Closing balance
- ☒ **D** Cash flow forecast

(iii) Which **one** of the following is the sector that converts raw materials into products?

Select **one** answer.

(1)

- ☒ **A** Public
- ☒ **B** Tertiary
- ☒ **C** Primary
- ☒ **D** Secondary

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## 3. Question 1 · part a.iv · 1 mark

2023 JUN · Paper 01

Further practice · Attempt part a.iv only.

(iv) Which **one** of the following is an example of a good?

Select **one** answer.

(1)

- ☒ **A** Motor vehicle
- ☒ **B** Financial advice
- ☒ **C** Car washing
- ☒ **D** Gardening

In 2021 *Irsi Chocolatier*'s revenue was €311 625. Each year it has seen its revenue increase.

(v) Which **one** of the following would be a 3% increase in revenue for *Irsi Chocolatier*?

Select **one** answer.

(1)

- ☒ **A** €317 857.50
- ☒ **B** €319 415.63
- ☒ **C** €320 973.75
- ☒ **D** €322 531.88

*Irsi Chocolatier*'s monthly fixed costs are €950 and variable costs per luxury box of chocolates are €2.60.

(vi) Which **one** of the following is the break-even point when a box of luxury chocolates is priced at €15.10?

Select **one** answer.

(1)

- ☒ **A** 75
- ☒ **B** 76
- ☒ **C** 77
- ☒ **D** 78

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## 3. Question 1 · part a.iv · 1 mark · Working and answer

Working and answer

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# 4. Question 1 · part a.ii · 1 mark

2023 NOV · Paper 01

Further practice · Attempt part a.ii only.

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**1** *As We Grow* (*AWG*) is a clothing business in Iceland. The social objective of the business is to use natural materials, such as wool, and produce environmentally friendly products. It aims to design clothes that will last a long time, to encourage families to buy fewer clothes and reduce waste in society.

*AWG*'s increasing product range now includes jumpers, dresses, shirts and baby clothes. These are produced in small workshops that employ family and friends. Waste is kept to a minimum and any leftover material is used to make scarves and hats. The business has one store in Iceland. It uses its website to advertise and sell its clothing online to customers in other countries. The business has received the Icelandic Design Award for its contribution to the environment.

(a) (i) Which **one** of the following is shown on the statement of financial position?

Select **one** answer.

(1)

- ☒ **A** Sales
- ☒ **B** Cost of sales
- ☒ **C** Current assets
- ☒ **D** Gross profit

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(ii) Which **one** of the following is an element of the marketing mix?

Select **one** answer.

(1)

- ☒ **A** Price
- ☒ **B** Partnership
- ☒ **C** Production
- ☒ **D** Profit

# 4. Question 1 · part a.ii · 1 mark

2023 NOV · Paper 01

Further practice · Attempt part a.ii only.

A business has fixed costs of £6 000 a month. Variable costs are £5 per unit and 8,000 units are made each month.

(iii) Which **one** of the following is the total monthly cost?

Select **one** answer.

(1)

- ☒ **A** £ 6 005
- ☒ **B** £14 000
- ☒ **C** £30 000
- ☒ **D** £46 000

(iv) Which **one** of the following job roles is most likely to be associated with capital-intensive production?

Select **one** answer.

(1)

- ☒ **A** Hairdresser
- ☒ **B** Car assembly worker
- ☒ **C** Soft fruit picker
- ☒ **D** Chef

(v) Which **one** of the following is an internal source of finance?

Select **one** answer.

(1)

- ☒ **A** Overdraft
- ☒ **B** Venture capital
- ☒ **C** Retained profit
- ☒ **D** Crowdfunding

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## 4. Question 1 · part a.ii · 1 mark · Working and answer

Working and answer

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## 5. Question 2 · part e · 3 marks

2023 JUN · Paper 02

Further practice · Attempt part e only.

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**2** One of *IKEA*'s aims is to keep up to date with the changes taking place in product design and meeting customers' needs. To do this it has to introduce new and different products on a regular basis.

(a) State **one** reason why *IKEA* would employ temporary staff.

**(1)**

(b) State **one** financial objective *IKEA* might have.

**(1)**

(c) Explain **one** reason why cash flow forecasting is important to a business.

**(3)**

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## 5. Question 2 · part e · 3 marks

2023 JUN · Paper 02

Further practice · Attempt part e only.

(d) Explain **one** reason why diseconomies of scale may occur.

**(3)**

(e) Explain **one** reason why businesses continually design new products.

**(3)**

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## 5. Question 2 · part e · 3 marks

2023 JUN · Paper 02

Further practice · Attempt part e only.

*IKEA* constantly aims to improve the way it promotes its furniture. To do this *IKEA* is considering using the following techniques.

**Option 1:** above the line promotion

**Option 2:** below the line promotion.

(f) Justify which **one** of these two options *IKEA* should use.

**(9)**

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## 5. Question 2 · part e · 3 marks · Working and answer

Working and answer

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## 6. Question 3 · part e · 9 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part e only.

**3** (a) Define the term **job share**.

**(1)**

(b) Outline **one** reason why high levels of customer satisfaction might be important to *Loaf*.

**(2)**

**Figure 2** is an extract from *Loaf*'s statement of comprehensive income in 2018.

| | £000s |
|---|---|
| Revenue | 90 |
| Gross profit | 22 |
| Other operating expenses | 4 |

**Figure 2**

(c) Calculate the operating profit margin for *Loaf* in 2018. You are advised to show your working.

**(2)**

..... %

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## 6. Question 3 · part e · 9 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part e only.

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(d) Analyse how useful the information in **Figure 2** is to *Loaf*.

**(6)**

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## 6. Question 3 · part e · 9 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part e only.

*Loaf* is looking to increase its net cash flow.

It is considering the following two options:

**Option 1:** hosting pop-up events across the country

**Option 2:** introducing different cookery courses.

(e) Justify which **one** of these two options *Loaf* should choose.

**(9)**

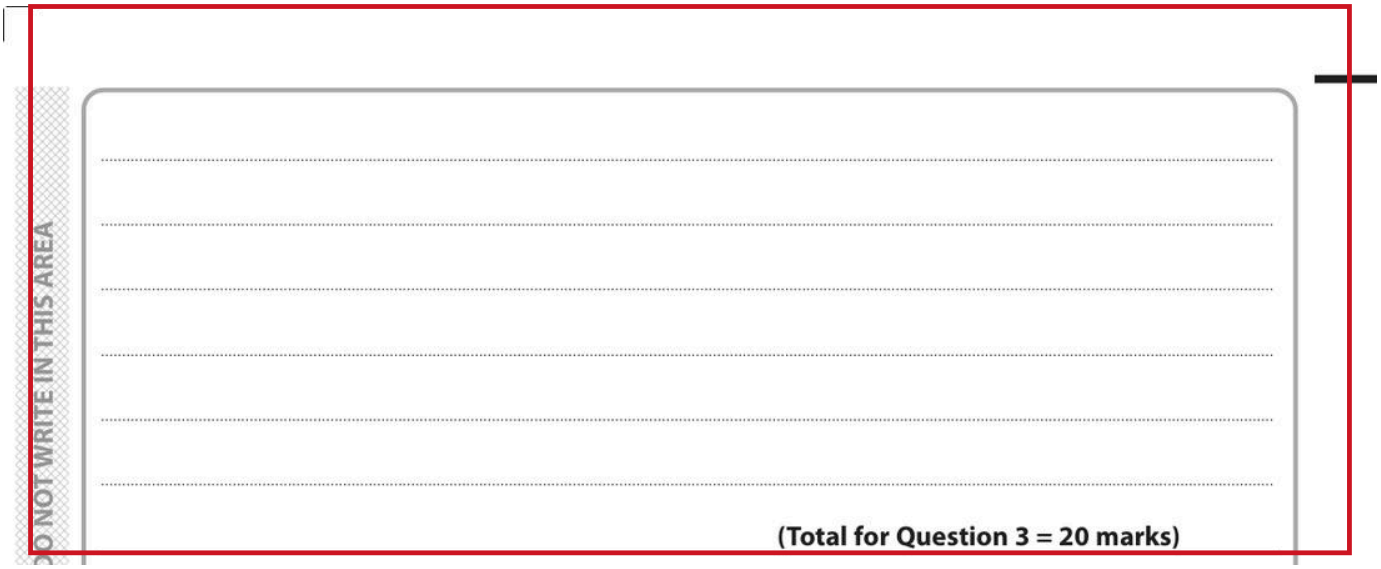
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## 6. Question 3 · part e · 9 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part e only.




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## 6. Question 3 · part e · 9 marks · Working and answer

Working and answer

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## 7. Question 3 · part e · 9 marks

2020 NOV · Paper 01

Further practice · Attempt part e only.

**3** One of *TADS'* objectives is to expand by giving lessons for different musical instruments. To do this it will need to analyse its financial position.

(a) Define the term **liquidity**.

**(1)**

(b) Outline **one** possible financial objective, other than revenue, that *TADS* might have.

**(2)**

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## 7. Question 3 · part e · 9 marks

2020 NOV · Paper 01

Further practice · Attempt part e only.

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**Figure 1** shows an extract from the cash flow forecast for *TADS*.

| | **February (£)** |
|---|---|
| Opening balance | 4 000 |
| Cash inflow | 7 000 |
| Cash outflow | 3 000 |
| Net cash flow | |
| Closing balance | |

**Figure 1**

(c) Calculate the closing balance for February. You are advised to show your working.

**(2)**

£.....

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## 7. Question 3 · part e · 9 marks

2020 NOV · Paper 01

Further practice · Attempt part e only.

(d) Analyse the importance of cash to *TADS*.

**(6)**

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## 7. Question 3 · part e · 9 marks

2020 NOV · Paper 01

Further practice · Attempt part e only.

*TADS* is looking to increase its revenue.

*TADS* is considering the following **two** options:

**Option 1:** teach other musical instruments

**Option 2:** increase the number of online drum lessons.

(e) Justify which **one** of these two options *TADS* should choose.

**(9)**

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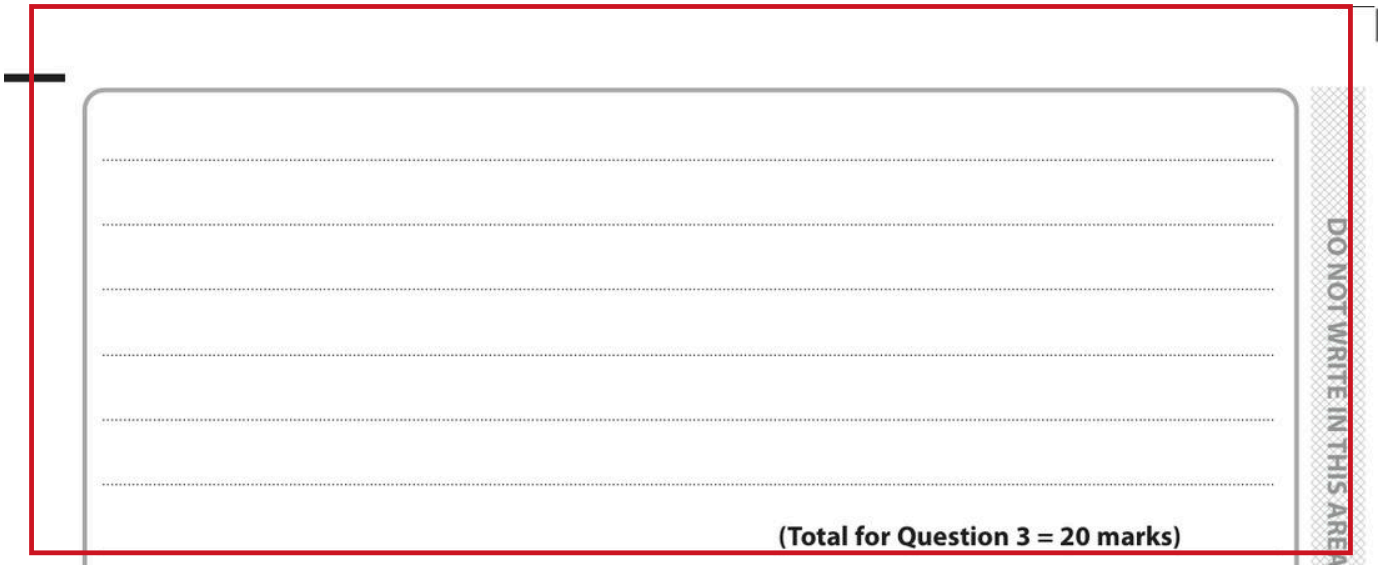
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## 7. Question 3 · part e · 9 marks

2020 NOV · Paper 01

Further practice · Attempt part e only.




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## 7. Question 3 · part e · 9 marks · Working and answer

Working and answer

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# 8. Question 2 · part f · 9 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

**2** During the preparation of food, the chefs at *Can Culleretes* have to follow health and safety regulations. New regulations are made from time to time.

(a) State **one** impact government legislation could have on *Can Culleretes*.

**(1)**

(b) State **one** way *Can Culleretes* might add value to its business.

**(1)**

(c) Explain **one** method a business could use to encourage repeat purchase of its products.

**(3)**

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## 8. Question 2 · part f · 9 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

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(d) Explain **one** disadvantage of using personal savings as a source of finance for a business.

**(3)**

(e) Explain **one** benefit for a business of motivating its employees.

**(3)**

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## 8. Question 2 · part f · 9 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

*Can Culleretes* is looking to improve its revenue and is considering two options:

**Option 1:** increase advertising

**Option 2:** opening for breakfast.

(f) Justify which **one** of these two options *Can Culleretes* should choose.

**(9)**

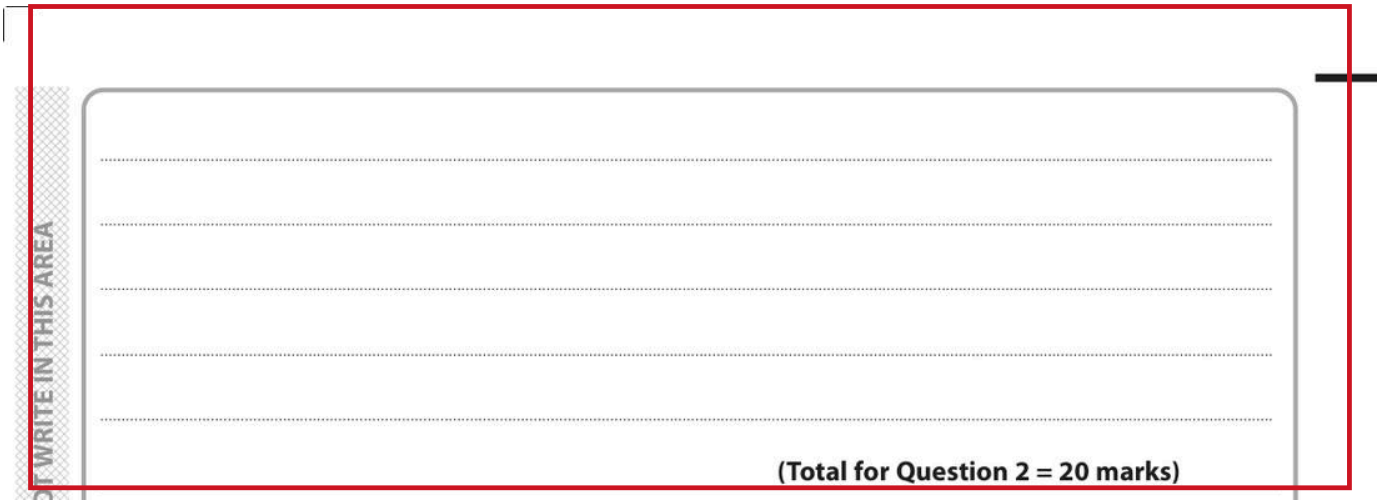
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## 8. Question 2 · part f · 9 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.




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## 8. Question 2 · part f · 9 marks · Working and answer

Working and answer

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## 9. Question 2 · part f · 9 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

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**2** *M&M* is constantly working to maintain the standards and quality of its products.

(a) State **one** non-financial objective for *M&M*.

**(1)**

(b) State **one** reason why *M&M* could dismiss an employee.

**(1)**

(c) Explain **one** reason why branding is important to businesses.

**(3)**

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# 9. Question 2 · part f · 9 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

(d) Explain **one** way businesses ensure that all employees have equal opportunities.

(3)

(e) Explain **one** reason why businesses maintain the quality of their products.

(3)

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## 9. Question 2 · part f · 9 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

*M&M* wants to remain the world's largest manufacturers of cars, vans and tractors. To do this it is always introducing new ways of keeping its customers interested. *M&M* is considering the following options.

**Option 1:** increase promotion of all vehicles

**Option 2:** make improvements to all vehicles.

(f) Justify which **one** of these two options *M&M* should choose.

**(9)**

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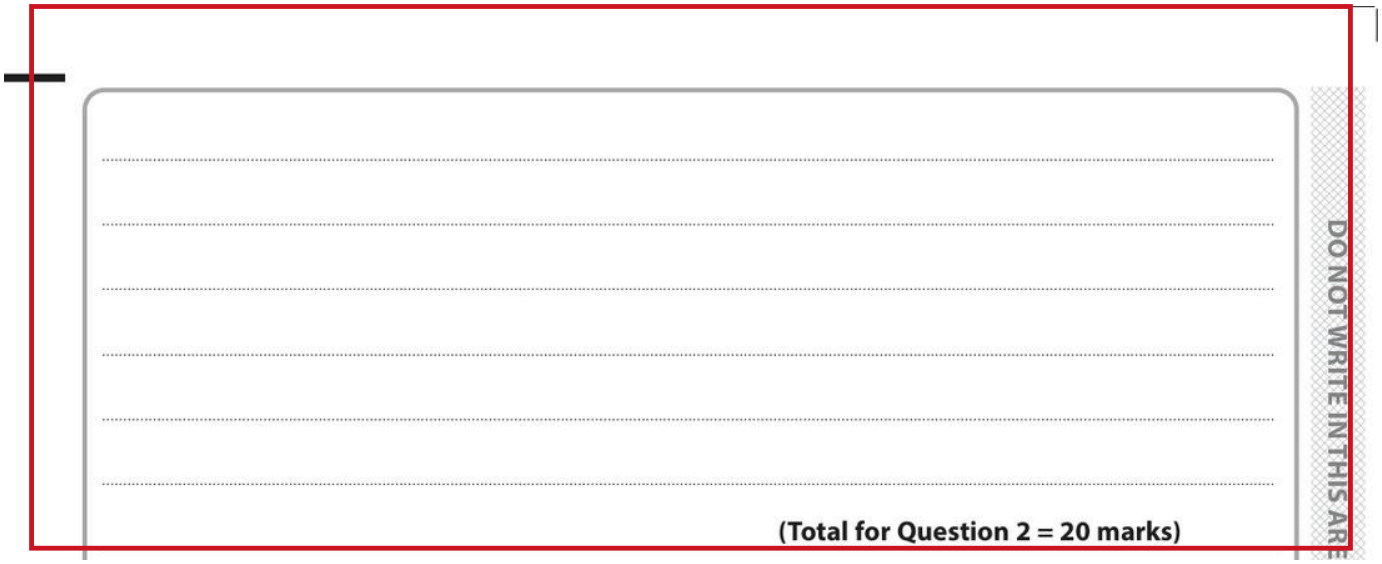
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## 9. Question 2 · part f · 9 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.




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## 9. Question 2 · part f · 9 marks · Working and answer

Working and answer

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## 10. Question 2 · part f · 9 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

**2** (a) State **one** reason why *Café Pinch* might set business objectives.

**(1)**

(b) State **one** way *Café Pinch* could use the Boston matrix to review its product portfolio.

**(1)**

(c) Explain **one** responsibility of the human resources function.

**(3)**

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## 10. Question 2 · part f · 9 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

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(d) Explain **one** advantage of being in a partnership.

**(3)**

(e) Explain **one** disadvantage to a business of having a hierarchical organisational structure.

**(3)**

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## 10. Question 2 · part f · 9 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

Berlin has recently seen an increase in cafés, small restaurants and breakfast bars. To remain competitive and keep its customers, *Café Pinch* is reviewing its marketing mix. It is considering two options:

**Option 1:** introduce a vegan range of products

**Option 2:** a special offer of 7.5% discount to customers on Wednesday mornings 9am–12pm.

(f) Justify which **one** of these two options *Café Pinch* should choose.

**(9)**

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## 10. Question 2 · part f · 9 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

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**(Total for Question 2 = 20 marks)**

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## 10. Question 2 · part f · 9 marks · Working and answer

Working and answer

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## 11. Question 2 · part f · 9 marks

2025 JUN · Paper 01

Further practice · Attempt part f only.

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**2** (a) State **one** factor *Four Fitness* may consider when choosing a location for its new gym.

**(1)**

(b) State **one** reason why branding is important to *Four Fitness*.

**(1)**

(c) Explain **one** advantage to a business of using total quality management.

**(3)**

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## 11. Question 2 · part f · 9 marks

2025 JUN · Paper 01

Further practice · Attempt part f only.

(d) Explain **one** problem a business might face as a result of ineffective communication.

**(3)**

(e) Explain **one** disadvantage to a small business of borrowing money from a bank.

**(3)**

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## 11. Question 2 · part f · 9 marks

2025 JUN · Paper 01

Further practice · Attempt part f only.

*Four Fitness* is looking to introduce a new service to increase its market share. It is considering two options:

**Option 1:** as part of its monthly subscription price, members are given a 'Technogym Electronic Key' which is inserted into the gym equipment. The key will track and store their progress. An instructor helps them to analyse their progress.

**Option 2:** introduce links to online fitness classes on its website that can be accessed from home. Customers will be charged for each fitness class downloaded.

(f) Justify which **one** of these two options *Four Fitness* should choose.

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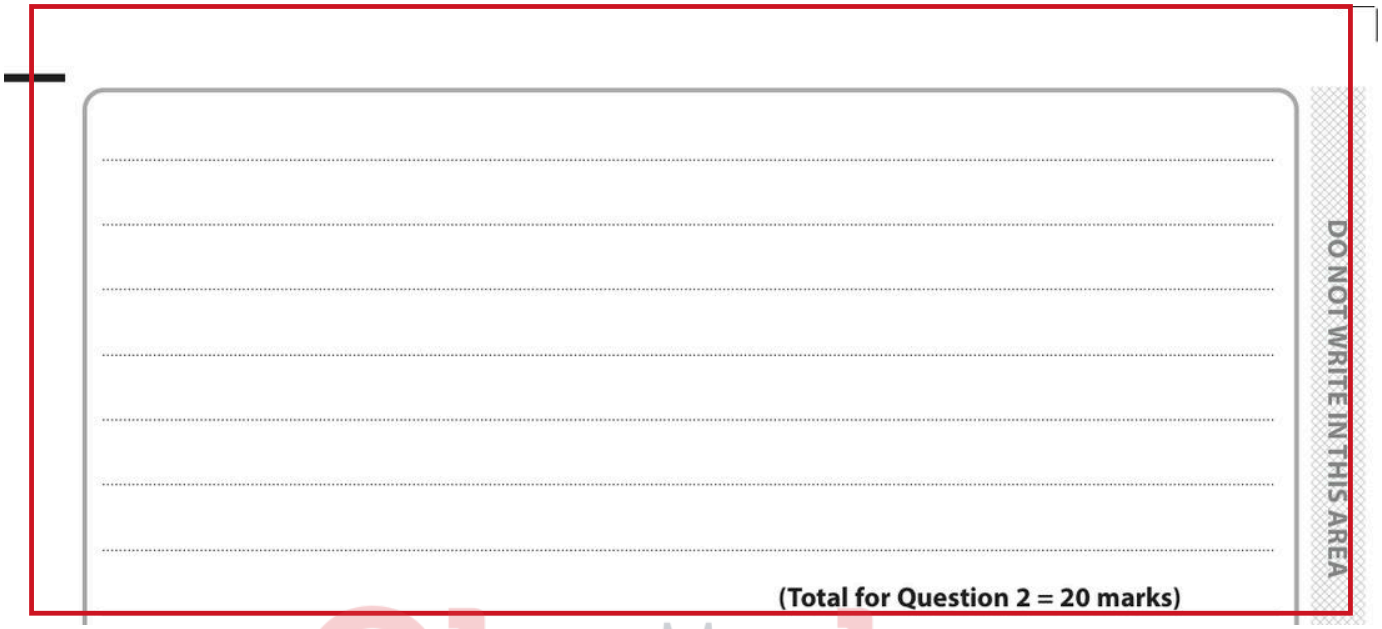
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## 11. Question 2 · part f · 9 marks

2025 JUN · Paper 01

Further practice · Attempt part f only.




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## 11. Question 2 · part f · 9 marks · Working and answer

Working and answer

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